Investment committee memorandum

To the Serendib University Endowment Investment Committee

From Quantum-X | 24 October 2026 | Draft for independent human-team review

Proposed decision: ADJUST the mandate before committing capital. A low-volatility portfolio is a useful starting point, but its crisis exposure exceeds the proposed tolerance.

The candidate holds 11.73% SPY, 70.00% AGG, 10.00% GLD, 8.27% XLK. It was selected by constrained variance minimization on pre-2019 returns, not by selecting the strongest later performer.

In the 939-day held-out period it earned 9.99% net CAGR with 6.64% volatility and 6.12% maximum drawdown. Its latest historical daily ES99 is $131,011; EVT gives $127,098. These estimates are model-dependent, not maximum losses.

The decisive concern is resilience. Historical replay reaches a 17.52% drawdown; the assumed funding squeeze loses $1,522,670. Both exceed a 15% tolerance. A green last-250 VaR traffic light does not settle that mismatch.

Requested action. Confirm the acceptable crisis drawdown and loss budget, agree a sustainable payout/income requirement, and approve an executable rebalancing policy. If the committee retains the proposed 15% limit, require a substantiated reallocation within the seven eligible ETFs before funding; reject the current allocation if that cannot be achieved.

A bond floor reduces ordinary equity exposure but introduces rate and credit risk; SPY and XLK overlap. Gold diversifies drivers without contractual yield. The 60/40 and equal-weight comparisons exceed the proposed equity cap, while expected-return optimization is estimation-sensitive. Constrained risk parity should remain in the discussion.

Review daily risk and exceptions, exposures monthly, and mandate assumptions annually. These are proposed governance frequencies. The study excludes endowment spending, taxes and market impact and does not prove that historical or hypothetical losses bound the future.

OpenAI Codex assisted with this draft and its analysis. No independent team approval is recorded. The human team must review, revise and defend the investment judgment before it is submitted as its own recommendation.